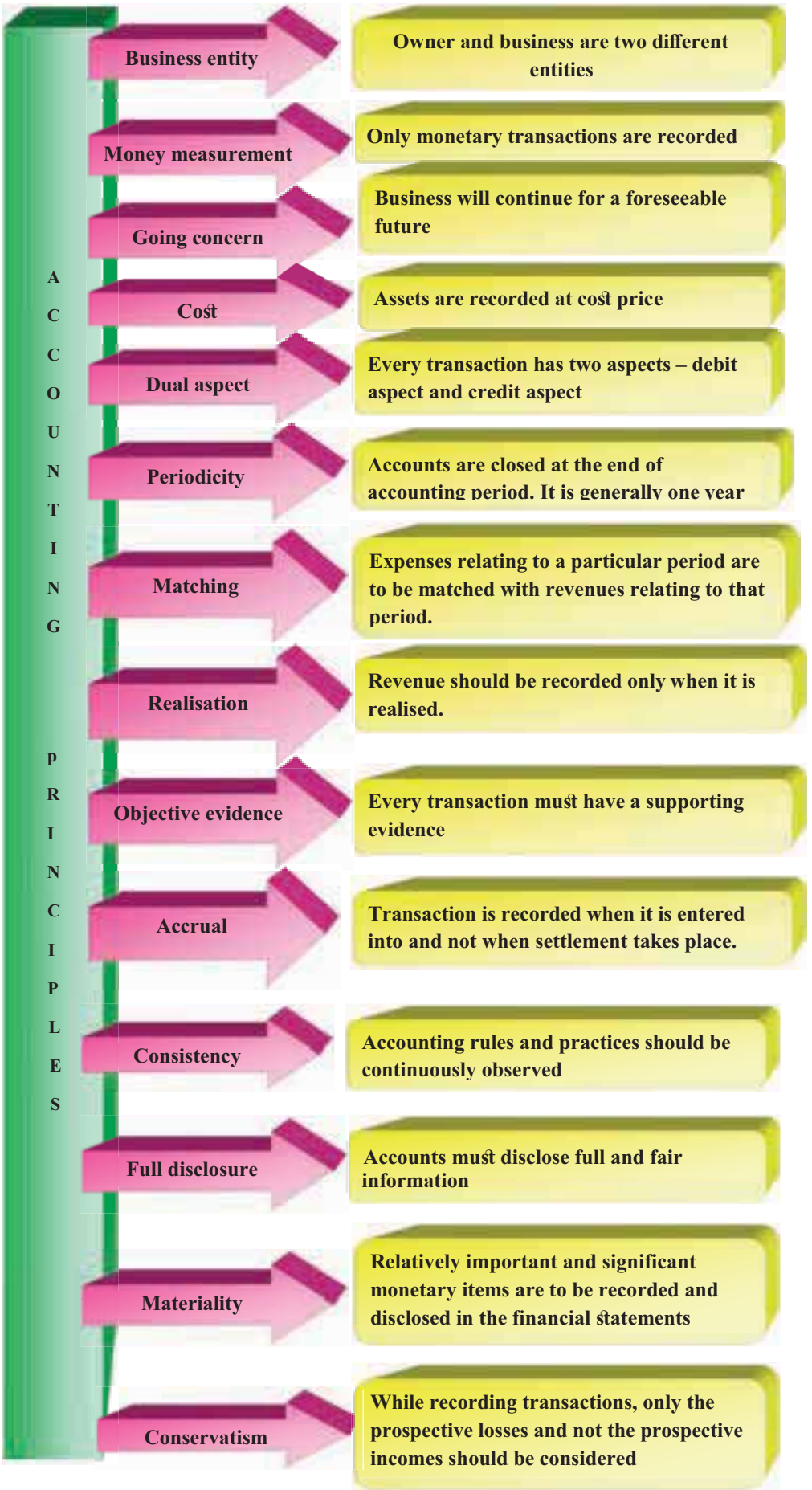

ACCOUNTING PRINCIPLES
Business entity
Owner and business are two different entities
Money measurement
Only monetary transactions are recorded
Going concern
Business will continue for a foreseeable future
Cost
Assets are recorded at cost price
Dual aspect
Every transaction has two aspects – debit aspect and credit aspect
Periodicity
Accounts are closed at the end of accounting period. It is generally one year
Matching
Expenses relating to a particular period are to be matched with revenues relating to that period.
Realisation
Revenue should be recorded only when it is realised.
Objective evidence
Every transaction must have a supporting evidence
Accrual
Transaction is recorded when it is entered into and not when settlement takes place.
Consistency
Accounting rules and practices should be continuously observed
Full disclosure
Accounts must disclose full and fair information
Materiality
Relatively important and significant monetary items are to be recorded and disclosed in the financial statements
Conservatism
While recording transactions, only the prospective losses and not the prospective incomes should be considered